Chapter: 6

Entrepreneurial team: Two or more individuals who pursue a new business idea, are involved in its subsequent management, and share ownership.

External problems: Related to customer contact, market knowledge, marketing planning, location, pricing, product considerations, competitors, and expansion.

Failure prediction model: Based on financial data from newly founded ventures; assumes the financial failure process is characterized by too much initial indebtedness and too little revenue financing.

Feasibility criteria approach: A criteria selection list from which entrepreneurs can gain insights into the viability of their venture.

Growth stage: The third stage of a new venture life cycle, typically involving activities related to reformulating strategy in the light of competition.

High-growth ventures: When sales and profit growth are expected to be significant enough to attract venture capital money and funds raised through public or private placements.

Institutional logics: Socially constructed, historical patterns of practices, assumptions, values, beliefs, and rules by which individuals provide meaning.

Lean Startup methodology: Provides a scientific approach to creating early venture concepts and delivers a desired product to customers' hands faster. It is hypothesis driven, and entrepreneurs must work to gather and incorporate customer feedback early and often.

Lifestyle venture: A venture that provides a relatively stable income stream for owners based on a workable business model and a maintenance approach to management.

Marketability: Assembling and analyzing relevant information about a new venture to judge its potential success.

Minimum viable product (MVP): This is the early version of the product that enables a full turn on the feedback loop with a minimum of effort.

Pivot: A structured course correction designed to test a new fundamental hypothesis about the product, strategy, and engine of growth.

Prototyping: A physical representation of the venture that captures the essence of an idea in a form that can be shared with others for communication and feedback that closes the gap between concept and reality.

Small profitable venture: A venture in which the entrepreneur does not want venture sales to become so large that they must relinquish equity or ownership position and thus give up control over cash flows and profits, which it is hoped will be substantial.

Technical feasibility: Producing a product or service that will satisfy the expectations of potential customers.

Uniqueness: The special characteristics and design concepts that draw the customer to the venture, which should provide performance or service that is superior to that of competitive offerings.

Question and Answer

1. Many entrepreneurs lack objectivity and have no real insight into the market. Why are these characteristics considered pitfalls of selecting new ventures?

Engineers and technically trained people are particularly prone to falling in love with an idea for a product or service. They seem unaware of the need for the careful scrutiny they would give to a design or project in the ordinary course of their professional work. Some entrepreneurs show a managerial short-sightedness. Also, they do not understand the life cycle that must be considered in introducing a new product or service.

2. Describe each of the five critical factors involved in the pre–start-up and start-up phases of a new venture.

1. **Uniqueness** The range of uniqueness in a new venture can be considerable, extending from fairly routine to highly non-routine. What separates the routine from the nonroutine venture is the amount of innovation required during pre–start-up. Venture uniqueness is further characterized by the length of time a nonroutine venture will remain nonroutine.

2. **Investment** The capital investment required to start a new venture can vary considerably. Another critical issue is the extent and timing of funds needed to move through the venture process.

3. **Growth of sales** The growth pattern needs to be anticipated for new-venture sales and profits. Key questions to answer: Are sales and profits expected to grow slowly or level off shortly after start-up? Are large profits expected at some point with only small or moderate sales growth? Or are both high-sales growth and high-profit growth likely? It is important to remember that most ventures can be classified as: lifestyle ventures, smaller profitable ventures, or high-growth ventures.

4. **Product availability** Essential to the success of any venture is the availability of a salable good or service at the time the venture opens its doors. Lack of product availability in finished form can affect the company's image and its bottom line.

5. **Customer availab**ility If the product is available before the venture is started, the likelihood of venture success is considerably better than otherwise. Venture risk is affected by the availability of customers for start-up. A critical consideration is how long it will take to determine who the customers are and what their buying habits are.

3. Identify and discuss three examples of product/market problems that can cause a venture to fail.

1. Poor timing Premature entry into the marketplace can result in failure.

2. Inappropriate distribution strategy. Distribution should be aimed at the product and customer.

3. Unclear business definition. Some firms are uncertain about the “exact” business they are in and undergo constant change and lack stabilization.

4. Identify and discuss two examples of managerial problems that can cause a venture to fail.

1. Concept of a team approach: Hiring and promoting personnel because they are family or friends, not because they are qualified. Examples: incompetent support professionals, poor relationship with parent companies, and venture capitalists.

2. Human resource problems: An owner who can’t relate to employees or never fulfills promises can cause a venture to fail. Examples: kickbacks and subsequent firings, verbal agreements not honored, deceit by the venture capitalist or the president.

5. List four major types of problems that new ventures confront.

Marketing and sales, product development, internal financial management, external financing, and human resource management.

Chapter 7

Business accelerator: Organizations that offer mentorship, office space, a range of support services, and funding opportunities for new ventures. One of the most important elements of accelerators is their ability to offer access to capital and investment in return for start-up equity.

Business broker: Professionals specializing in business opportunities often can provide leads and assistance in finding a venture for sale.

Business incubator: An entity that helps new ventures to develop by providing services such as management training and office space so that entrepreneurs enjoy a collaborative work environment with invaluable mentoring and networking opportunities, funding support, and shared equipment.

Entrepreneurial ecosystem: The social and economic environment affecting the local and regional entrepreneurship. It usually consists of six general domains: a conducive culture, enabling policies and leadership, availability of appropriate finance, quality human capital, venture-friendly markets for products, and a range of institutional and infrastructural supports.

Franchise: Any arrangement in which the owner of a trademark, trade name, or copyright has licensed others to use it to sell goods or services.

Franchisee: An individual who purchases and operates a franchise.

Franchise fee: The initial amount of money needed to purchase a franchise.

Franchisor: An individual (or company) who offers to sell or license his operation in the form of a franchise.

Franchisor control: The franchisor generally exercises a fair amount of control over the operation in order to achieve a degree of uniformity.

Goodwill: The amount of value created by an owner of a business in terms of their time, effort, and public image with the business itself.

New-old approach: A start-up approach to business in which the concept provides a new angle to something that already exists in the marketplace.

Risk versus reward: Examine overall gains and losses to point out the importance of getting an adequate return on the amount of money risked.

Upside gain and downside loss: Within the financial capital domain, this is the best possible gain weighed against the worst loss possible. (See also Risk versus reward.)

Question and Answer

1. Identify the three main pathways to entering business for a prospective entrepreneur.

The three most common methods for entering business are to create a new venture, acquire an existing venture, or obtain a franchise.

2. What is the new-new approach to starting a new venture? How does this approach differ from a new-old approach?

New-new is when you enter a market with a new product or service. Examples of recent new-new entries are plasma televisions, smartphones, and GPS devices. New-old is either improving a product or offering a service in an area where it is not currently available. While the new-new approach may receive more attention, it is more common to see companies started with new-old approaches. There are a lot of underserved markets around the world where a new-old approach can prove quite successful.

3. Describe what dimensions the "Newness Framework" is based on.

The dimensions of the "Newness Framework" are technology newness and market newness. Within these two dimensions, a new venture could provide a good or service with either incremental or radical innovations.

4. How can an individual who is thinking of going into business evaluate the financial picture of the enterprise?

The entrepreneur must estimate how much it will cost to stay in a business for a year, how much revenue will be generated during this period, and how long it will take the company to generate positive cash flow. An individual considering starting a business needs to consider the start-up and monthly expenses of the operation. Upside gain and downside losses must be estimated.

5. In addition to personal and financial issues, what other factors should the prospective owner be concerned with? Describe at least four.

Factors to consider when going into business are many. Besides the personal and financial, if you're considering starting a business, you should review operational considerations such as the building, merchandise, and equipment needed for operations in record keeping, insurance, legal, marketing, and personal matters. If you're buying an already existing business, you should also consider why the business is being sold, what the condition of the business is, what the condition of the inventory is, what the state of the company's other assets are, how many of the employees will remain, and what the competition is.

6. What are the advantages of buying an ongoing business? Explain them.

1. Less fear about successful future operation since the enterprise is already in operation, its successful future operation is likely.

2. Time and effort associated with starting a new enterprise are eliminated. The inventory, equipment, personnel, and facilities are already in place.

3. It sometimes is possible to buy an ongoing business at a bargain price. The owner may want to sell it quickly because of retirement, due to illness, to raise money for an emergency, or to pursue another opportunity soon.

7. What is meant by the term franchise?

A franchise is any arrangement in which the owner of a trademark, trade name, or copyright has licensed others to use it in selling goods or services.

8. What are some of the major advantages of franchising? Cite and explain three.

The advantages of franchising include training and guidance from the franchisor, brand-name appeal, a proven track record, and some financial assistance. Professional training and guidance from an established franchise gives a franchisee a great advantage over the small business owner starting from scratch. The franchise also has already invested heavily to promote the name of the franchise, so the new business will have instant recognition and legitimacy in the market. Franchises will often help in getting the business started by offering loans and not requiring any repayment until the operation is running smoothly.

9. What are some of the major disadvantages of franchising? Cite and explain at least two.

The disadvantages of franchising are the franchise fees both initial fee and royalty payments each year, control exerted by the franchisor, and the sometimes unfulfilled promises made by franchisors to franchisees. There will be the usual start-up costs of creating a business, as well as the franchise fees that must be paid. This may prove too large a burden for the entrepreneur. Many entrepreneurs enter business to be their own boss, but the franchise may be stifling to the owner. With less established franchises with less reliable reputations, franchisees may become frustrated if the franchisor is lax about holding up their end of the contract.

10. Describe the critical elements involved in incubators, accelerators, and entrepreneurial ecosystems.

A business incubator is an entity that helps new ventures to develop by providing services such as management training and office space. Entrepreneurs enjoy a collaborative work environment with invaluable mentoring and networking opportunities, funding support, and shared equipment. Most top incubators tend to be industry specific.

Business accelerators are organizations that offer a range of support services and funding opportunities for new ventures. Typically, entrepreneurs are enrolled in months-long programs that offer mentorship, office space, and other resources. One of the most important elements of accelerators is their ability to offer access to capital and investment in return for start-up equity.

An entrepreneurial ecosystem refers to the social and economic environment affecting the local and regional entrepreneurship. These ecosystems consist of six general domains: a conducive culture, enabling policies and leadership, availability of appropriate finance, quality human capital, venture-friendly markets for products, and a range of institutional and infrastructural supports.

Chapter 8

Key terms

Accounts receivable financing: Short-term financing that involves either the pledge of receivables as collateral for a loan or the outright sale of receivables. (See also Factoring.)

Angel capital: Investments in new ventures that come from wealthy individuals referred to as "business angels."

Crowdfunding: It is a twenty-first-century phenomenon. Commercial lenders are not always willing to make loans to unproven enterprises, leaving entrepreneurs desperate for funding to seek new loan options.

Debt financing: Borrowing money for short- or long-term periods for working capital or for purchasing property and equipment.

Equity financing: The sale of some ownership in a venture in order to gain capital for start-up.

Factoring: The sale of accounts receivable.

Finance companies: Asset-based lenders that lend money against assets such as receivables, inventory, and equipment.

Initial public offering (IPO): A corporation's raising of capital through the sale of securities on the public markets.

Peer-to-peer (P2P) lending: Commonly abbreviated as P2PL, this is the practice of lending money to unrelated individuals, or "peers," without going through a bank or other traditional financial

institution. Also known as “debt-based crowdfunding,” this lending takes place online on peer-to-peer lending companies’ websites using various lending platforms.

Sophisticated investors: Wealthy individuals who invest more or less regularly in new and early- and late-stage ventures. They are knowledgeable about the technical and commercial opportunities and risks of the businesses in which they invest.

Trade credit: Credit given by a supplier who sells goods on account. A common arrangement calls for the bill to be settled within 30 to 90 days.

Venture capitalists: Individuals who provide a full range of financial services for new or growing ventures, such as capital for start-ups and expansions, marketing research, management consulting, assistance with negotiating technical agreements, and assistance with employee recruitment and development of employee agreements.

Question and Answer

1. Describe some of the sources of capital available to entrepreneurs, and discuss how they correlate the varying levels of risk involved with each stage of the venture.

Entrepreneurs have various forms of capital available to them, and most are more appropriate at different stages of the business. In the earliest stages of the business, the owner’s own money is often used. This is because the business is often unproven and thus entails a lot of risk. They may not be able to receive any other funds until they have some type of track record. Once the owners have demonstrated they are serious about the business, family and friends may provide money to support the entrepreneur. Angel investors who are looking for a good idea and the excitement of the entrepreneurial journey may come on board to provide funding. Angels are often looking for investment returns as well as contributing to the development of their communities and entrepreneurial ecosystems. Seed capital may come in to help take the business closer to larger market presence. Once a company has a track record and shows evidence that it can scale, venture capitalists will often choose to get involved. They’re interested in high growth opportunities. There is still a lot of risk involved, but the company has demonstrated that it can be successful. Once the company is more secure in the market, it will have access to banks and government programs. Banks tend to look for low-risk companies to lend to, and government programs are looking for the most impactful programs for public dollars. When the company is established, it can begin to seek capital infusions from private placements of securities. The firm can sell stock through direct public offerings. When the company has demonstrated sufficient success in the market, it can seek out significant capital through an initial public offering. Millions, and even billions, of dollars can be generated for the company through an IPO. All these forms of capital are risky, but risk changes at different stages of the company life cycle. Thus, different instruments that respond in various ways to risk are used.

2. Explain bootstrapping with its advantages and disadvantages.

Bootstrapping allows an entrepreneur to found and build a venture from personal finances or the operating revenues of the new company.

Advantages:

•Cost. Bootstrapping is inexpensive because working with your own money means that super-efficiency is necessary. Entrepreneurs start operating their venture on a lean business model.

•Control. Without any external investors (as only founders are investing in the business), the founders' control over the company is not diluted. Entrepreneurs are their own bosses and are responsible for all crucial decisions in operating and growing the company.

•Concentration. Raising external finance is not an issue and allows for full concentration on the core aspects of the business, such as sales and product development. Eventually, investors will be much more confident funding businesses that are already backed and that show promise and commitment by their owners.

Disadvantages:

•Cash. Because of the lack of capital and cash flow, problems can arise if a company doesn't generate the capital it needs to develop products and grow.

•Equity. Equity issues can become a problem when there's more than one founder. This could cause disharmony as well as adverse tax consequences if there's an imbalance between founders when it comes to the amount of invested capital, experience, or time.

•Risk. Bootstrapping involves much more risk where losses and failures may be experienced. One reason some bootstrapped companies are unsuccessful is due to the lack of revenue.

•Stress. Stressful situations occur when entrepreneurs accept funds from family members and friends. Proper expectations and communications are keys to coping with the stress of these situations.

3. What are the benefits and drawbacks of equity and of debt financing? Briefly discuss both.

One major benefit of equity is that there is no legal obligation to repay the principal amount or pay interest on it. There are two types of equity financing: public offerings and private placements. By going public, you can raise large sums of capital in a short time. Other advantages include liquidity, value on stock, and image. Along with advantages, there are disadvantages, which include cost, disclosure requirements, and shareholder pressure. Private placements allow selling stock to private parties. Debt financing involves a payback of the funds plus a fee for the use of the money. Advantages are no relinquishment of ownership, greater return on equity, and low interest rates. Disadvantages include regular interest payments, possible cash-flow problems because of payback responsibility, and heavy use of debt which can inhibit growth and development.

4. If a new venture has its choice between long-term debt and equity financing, which would you recommend? Why?

I would recommend equity financing because it gives the entrepreneur the chance to start off small, without a big debt. Long-term debt matures in five years, which isn't adequate time for the

business to show a large profit. Also, long-term debt is used mainly to finance the purchase of property or equipment.

5. Identify and describe three objectives of venture capitalists.

Security and payback: Venture capitalists want to invest in sound companies and expect the companies to be successful. Return on investment: They expect a large ROI. Management team: Venture capitalists usually want to work with a team with good credentials and experience.

6. In a new-venture evaluation, what are the four stages through which a proposal typically goes? Describe each in detail.

1. Initial screening This is a quick review of the basic venture to see if it meets the venture capitalist's particular interest.

2. Evaluation of the business plan This is a detailed reading of the plan to evaluate the factors mentioned earlier.

3. Oral presentation The entrepreneur will verbally present the plan to the venture capitalist.

4. Final evaluation After analyzing the plan and visiting with suppliers, customers, consultants, and others, the venture capitalist will make a final decision.

7. Is it easier or more difficult to get new-venture financing today? Why?

Although there are many new forms of funds available, such as crowdsourcing, many entrepreneurs are finding it more difficult than a decade ago to get financing. There are not as many banks making loans, and those that do are being more restrictive on who they loan to. Still, if a business has strong potential for success, investors will always be looking to finance companies that ensure good returns on investment. Entrepreneurs need to make stronger cases that they are worthy of such an investment.